Letter of Intent

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To	The Morpheus community and its core contributors, through the MRC process and the public governance forum.
From	Zach Kelling, Lux Industries, Inc., with Hanzo AI, Inc. and Zoo Labs Foundation.
Date	28 August 2026. Lapses 27 October 2026 unless extended in writing.
Status	Non-binding in its entirety. Not an offer to sell a security. Every item is a proposal your governance may accept, amend, or reject.

MOR trades at $1.95. The protocol earns about $476,000 a year and the number is falling. We read all sixty-two repositories, at full history, from the deployed addresses and the source. This letter is a menu. Take as much or as little as you want. The parts do not depend on each other, and the schedule at the end states the unflattering findings first, because you will find them in our commit history anyway.

What is true today

We work from your numbers.

- **Market.** MOR $1.95, market capitalisation about $17M. DEX depth about $1.4M, of which 88.8% is protocol-owned in one Safe. Trailing 24-hour volume about $8,900. [verified]
- **Revenue.** Real revenue is Lido and Aave yield, about $476,000 a year, down from $3.24M in the launch quarter of 2024. Seventy-five percent funds a buyback of about $511,000 a year. Emission is 14,400 MOR per day, tapering from 8 February 2024 to zero in 2040, 42M terminal, no premine. Emission outruns real revenue about ten to one. [verified]
- **Capital.** The pool holds about $20M of third-party stETH. Principal is withdrawable one to one. This is not a ponzi. Two problems are real: dilution outruns revenue, and settlement is fakeable. [verified]
- **Settlement.** Compensation is `pricePerSecond` times elapsed seconds on a provider-signed receipt. The receipt signs `inputTokens` and `outputTokens` (`abi.go:18-19`). The contract decodes five of the seven fields and drops both token counts (`SessionRouter.sol:237`). Model identity is never committed. A provider can serve an 8B model, sign a 70B price, and settle clean. [verified]
- **Controls.** No slashing (the grep is empty). No timelock. Unbounded mint (`MOROFT._mint`, no cap). Upgrade authority over the capital contracts is an anonymous 5-of-9 Safe. [verified]
- **Demand.** Eighteen providers on `active.mor.org`, largely reselling Venice and OpenAI subscriptions. No usage, session, or revenue figure is published anywhere in the corpus. [verified]

Credit where it is earned. Treasury bifurcation capped the July 2026 stipend leak near one percent of the pool per day. Session accounting decodes the on-chain `Transfer` log rather than trusting a spend estimate. Emission splits pro rata by yield actually contributed, not by TVL. Roughly five engineers carry all of this. The honest problem is not fraud. It is that emission buys nothing and settlement proves nothing.

The menu

Four tiers. Each is complete on its own. Adopt one and stop, or take them in order. None requires the next.

Tier 0: hygiene. No vote, no us, no cost.

Three live credentials sit in source or history. Two repositories have no CI. One wallet function mints funds to a throwaway address. Rotate the keys, make a failing test fail the build, and fix `deriveAddressFromPrivateKey`. The fund-losing path closes today. Cost is zero and none of it depends on this letter. [verified]

Tier 1: verifiable settlement and real demand.

The problem is fakeable settlement and published demand near zero. The fix is built. `mord` makes settlement un-fakeable: faked work earns nothing, model substitution is slashed. It compiles and its forty tests pass as of 29 August 2026. [verified] `lux/ai` supplies attestation, a verification quorum, and `SlashProvider`, verifying locally against nvtrust, SPDM, and RIM with no cloud dependency. [verified] `api.hanzo.ai` joins the marketplace as an attested provider under the same terms as any other, and Enso, a learned router, scores model selection against live provider bids rather than benchmarks. [verified] Behind it stand consumer surfaces with 100,000,000+ launch reach: `hanzo.chat`, `hanzo.app`, `hanzo/dev`, `hanzo/desktop`, `zoo/app`, `lux.exchange`, `lux/wallet`. [client] The fee is charged on verified volume and feeds your existing buyback. The quantified outcome is below.

Tier 2: governance and a use for the token.

The problem is no timelock, nine anonymous keys, and no productive use for MOR beyond holding it. `lux/dao` attaches a freeze guard and a timelock to the existing Safe first: the keyholders keep their keys and lose only the ability to act without notice. A governor follows, executing through the Safe rather than around it. [verified] Then the token earns a use: `lux/dex` runs the LX order book, `lux/liquid` offers self-repaying lending against MOR (VaultV2, a dozen adapters), and `lux/bank` adds accounts and cards. [verified] MOR gains a timelock and a reason to move, and the next stipend bug is capped by policy rather than by luck.

Tier 3: a sovereign chain, and the raise.

The problem is that MOR secures nothing and emission buys nothing. `l2-template` stands up an L2 in minutes; Hanzo and Zoo were both made this way, with a post-quantum root anchored in Quasar Horizon finality. [verified] A sovereign Lux L1 follows, on which MOR is gas and stake. The staking argument is the next section. The indicative raise sits here, and it is [pending].

L1 versus L2, and what MOR secures

Morpheus settles on Base, an L2. MOR secures nothing there. Two paths follow.

An L2 ships now. `l2-template` produces a chain in minutes and Morpheus keeps Base-grade settlement. But MOR stays non-productive: security comes from the stack, not from the token, so emission continues only to dilute.

A sovereign L1 makes MOR the gas and the staking asset. Validators post MOR; emission pays for validator security and finality instead of pure dilution. The same 14,400 MOR per day that today buys nothing then buys a security budget. [derived]

The cost is honest. An L1 needs a validator set that exists and is decentralised, and that does not exist on day one. So the path is the L2 first, the sovereign L1 when the validator set is ready. Bid discovery migrates before settlement, or not at all. One more thing stated plainly: `mlkem` and `fhe` are activated; `mldsa` and `slhdsa` are present but not. Post-quantum transport is live. Post-quantum signatures are staged, not live.

The outcome, quantified

The funnel comes from our joint go-to-market model. Every post-reach number is a modelled assumption, not a Morpheus measurement. [illustrative]

100M reach, about 2M monthly active, about 40,000 opting into a private or decentralised inference tier, about 20,000 routed, and 1,000 to 10,000 verified sessions per day near-term, bounded by the eighteen providers on hand. Two assumptions carry it: the funnel ratios hold within an order of magnitude, and provider count grows past eighteen to lift the near-term ceiling.

Take the low case. Ten thousand verified sessions per day is about 3.65M verified sessions per year. It already exceeds all currently published Morpheus demand, which is about zero. [verified for the ∼0; illustrative for the 10k] The fee rides on verified volume and feeds the buyback:

- At \$0.10 per verified session, the buyback gains about \$365,000 a year from usage. [illustrative]
- At \$0.50 per verified session, about \$1,800,000 a year. [illustrative]

Today's buyback is about \$511,000 a year, funded by deposit yield that is falling. [verified] Both figures above come from usage, not deposits, and both grow with sessions and providers rather than shrinking with yield. That is the whole point: revenue that scales with use instead of with TVL. What we do not know: no session or revenue figure is published in the corpus, so we cannot calibrate the funnel from your data. The ratios are our assumption and we will report them against measured traffic once Hanzo takes live volume.

Why us

Lux, Hanzo, and Zoo are the one counterparty that already ships both halves this fix needs: the attested backend and un-fakeable settlement (`mord`, `lux/ai`), and the 100M-reach consumer surfaces with a KYC base onboarded through Hanzo IAM and `lux/wallet`. Verifiability without demand is a lab. Demand without verifiability is what Morpheus has today.

The indicative raise

Indicative, not an offer. [pending] A raise clears only into demonstrated on-chain revenue and a KYC base already onboarded through Hanzo IAM and `lux/wallet`. Amount, instrument, jurisdictions, and participant eligibility are for securities counsel in each relevant jurisdiction; none is set here. `lux/exchange` can run the offering, its securities-exchange and ICO function itself pending SEC approval of a proposed regulation. [pending] Proceeds go to protocol-owned liquidity and a DAO-held treasury under `lux/treasury` with published balances, not to a multisig or an operating company. The sequence is fixed: demand and verifiability first, token rails second, the L2 and the raise third. We would not want a mandate obtained any other way, because a treasury the community did not vote for is just another multisig.

Schedule A: what we found

Every item has a location so it can be checked or disputed. We withdraw any item shown to be wrong. None is an argument for a lower price; no price is attached to this letter.

Credentials. An Infura key in `dashboard-v2 config/index.tsx:26`, shipped to browsers. A live `SENTRY_AUTH_TOKEN` in `dashboard-v2 .env.sentry-build-plugin`. A Helius mainnet key in `MORSOL Anchor.toml` at `ca01d42`. Rotate before answering this letter.

Tests that cannot fail a deploy. `Morpheus-Marketplace-API build.yml:212` runs pytest, warns, and continues, so 236 tests cannot block a release. `Morpheus-Lumerin-Node` invokes `go test` zero times and `go test ./...` fails on main. `dashboard-v2` and `Morpheus-Marketplace-APP` have no `.github` directory.

Fund loss. `morpheus-deploy wallet.ts:165 deriveAddressFromPrivateKey` ignores its argument and returns `randomBytes(20)`; `morpheus init` prints `Smart Wallet created` and the README says to fund it. Fix today.

Settlement and trust. Settlement commits nothing about the weights, quantization, tokenizer, or backend that served a request, so substitution is undetectable from settlement data. `MySuperAgent` trusts a client-supplied `x-wallet-address` header across 27 files, and the hosted gateway multiplexes all Web2 callers onto one shared consumer wallet.

Build state. The subgraph HEAD cannot compile. `SmartContracts` main has been frozen since 29 September 2025. `BuildersV4.sol` lives only on a feature branch while the docs scope its deployed address for a 100k bounty. Six completed efforts sit unmerged; finishing them is a faster route to visible progress than anything we propose.

Legal

Non-binding. This letter expresses intent only. It creates no obligation to negotiate, to continue, or to transact. No binding obligation arises unless and until definitive written agreements are executed by all parties. Only the confidentiality paragraph is intended to be binding.

No offer of securities. Nothing here is an offer to sell, or a solicitation to buy, any security, token, or instrument in any jurisdiction. Any raise is indicative and conditional on the opinion of securities counsel as to structure, instrument, exemption, eligibility, and transfer restrictions. No terms are set and no participant has been solicited.

No exclusivity, no control. We request no standstill, no right of first refusal, and no matching right. Nothing here transfers ownership of the protocol, its marks, its contracts, or its treasury, and no signer is added to or removed from any multisig by this letter.

Confidentiality, costs, law. Each party keeps the non-public terms confidential and uses the information only to evaluate these proposals, excepting what is public, independently developed, or required by law. Morpheus governance may publish this letter in full, including Schedule A, and we would prefer that it does. Each party bears its own costs. Any definitive agreement specifies governing law; this letter does not. This letter lapses 27 October 2026 unless extended in writing.

Zach Kelling
Lux Industries, Inc.
For itself, with Hanzo AI, Inc. and Zoo Labs Foundation
`research@lux.network` 28 August 2026

Referenced repositories are public or available on request. Every claim in Schedule A is sourced to a file, a line, or a commit. Provenance labels: *verified* on-chain, in-repository, or from DefiLlama; *illustrative* modelled with a stated assumption; *pending* external approval; *client* our own reach.